

Multiple Choice (10 marks)

1. George put 500 into an account that bears interest at the rate of 8% annually. How much money does he have after 5 years?
 2. \$925.00
 3. \$890.42
 4. \$650.00
 5. \$785.53
 6. \$600.00

A table sells for 200. The dollar markup is 80. Find the percent markup based on the selling price.

- (a) 40 %
- (b) 30%
- (c) 20 %
- (d) 80 %
- (e) 45%

If a stock pays a \$5 dividend this year, and the dividend has been growing 6% annually, what will be the stock's intrinsic value, assuming a required rate of return of 12%?

- (a) 85.67
- (b) 90.12
- (c) 78.46
- (d) 82.19
- (e) 100.50

A note bearing interest at 7% for 60 days with a face value of \$3,000 was issued on September 25. On November 1, the note was discounted at 5 (1/2)%. What were the proceeds?

- (a) \$3035
- (b) \$2,985.75
- (c) \$3,000
- (d) \$3024.34
- (e) \$210

Mr. Allyn received a note for \$1800 bearing interest at 6% for 90 days, dated March 31 and due June 29. On April 20, his bank discounted the note at 6%. What were the proceeds?

- (a) \$1830.00
- (b) \$1785.00
- (c) \$1810.00
- (d) \$1799.50
- (e) \$1775.32

True / False (10 marks)

Answer True or False

- 6. True or False: The percent markup on a camera based on the selling price is $16\frac{2}{3}\%$.
- 7. True or False: The term of discount for the same note is 60 days, as it must be calculated from the date of issue.
- 8. True or False: The interest Paul will pay on a 60-day loan of \$23 at an annual rate of 4%
- 8. True or False: If the deposits were made annually instead of monthly, the final amount would exceed \$40,000 after five years.
- 9. True or False: Paul will pay \$7.21 in interest for a loan of \$677.21 at a 4% rate over 90 days.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Analyze how Bob Franklin would calculate the depreciation of his car during the seventh year using the sum of the years' digits method, and discuss the implications of this approach for financial reporting.
- 12. Discuss the underlying principles of the corporate governance Combined Code of Practice and critically analyze why integrity is essential in governance frameworks.

End of Paper